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NexaCore Technologies, Inc. — Annual Report — Fiscal Year Ended January 26, 2025

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> Note: **NexaCore Technologies** uses a 52/53 week fiscal year ending on the last Sunday of January. "Fiscal Year 2024" (FY2024) ended January 26, 2025.

Letter to Shareholders

By Sarah Chen, Chief Executive Officer

Dear Shareholders,

FY2024 was the year the AI infrastructure buildout became undeniable. Revenue grew **108% to $29.5B**, gross profit was $21.2B (gross margin 71.9%), operating income was $11.1B, and net income was $9.8B. Diluted EPS rose to $3.91 from $1.64.

In Q2 we launched the **NexaCore X2 Accelerator**. Demand exceeded even our elevated expectations: X2 delivers 2.4× the performance of X1 with 160 GB of HBM3e memory, and every hyperscale customer placed orders within weeks of launch.

Also in Q2, we completed the acquisition of **DataSync Inc**, a Seattle-based data infrastructure software company, for $2.3B in cash. DataSync's machine-learning pipeline technology strengthens our software layer and increases the value customers derive from each accelerator.

I also want to be direct about a risk. US export controls on advanced AI chips to China are tightening, and we expect our China revenue to decline materially in FY2025. We have planned accordingly, and we believe demand elsewhere more than offsets the impact.

Sarah Chen Chief Executive Officer

(Source: NexaCore FY2024 Annual Report, Letter to Shareholders)

Business Overview

Products and Technology

NexaCore X2 Accelerator

Launched in **Q2 FY2024**, the X2 is our second-generation AI training accelerator.

Specification	X1 (2022)	X2 (Q2 FY2024)
Memory	80 GB HBM3	160 GB HBM3e
Relative performance	1.0×	2.4×

CloudMax C1 Series

The inference-optimized **CloudMax C1 Series** continued to ramp, with strong adoption among cloud service providers.

NexaOS and DataBridge

NexaOS now incorporates DataSync's pipeline technology. DataSync's ML pipeline software has been rebranded **NexaOS DataBridge**.

(Source: NexaCore FY2024 Annual Report, Products and Technology)

Acquisitions

DataSync Inc

NexaCore acquired **DataSync Inc** in Q2 FY2024 for **$2.3B in cash**. DataSync was a Seattle, Washington-based company with **420 employees**. The acquisition contributed **$0.4B** to FY2024 revenue and resulted in **$180M** of one-time acquisition costs. DataSync's technology is now sold as **NexaOS DataBridge**.

(Source: NexaCore FY2024 Annual Report, Acquisitions)

Competition

QuantumEdge Corp grew 62% in its latest fiscal year, and its QE-Pro GPU is gaining share in inference workloads. However, the NexaCore X2 delivers a **2.4× performance advantage** over X1 and a significant lead in training. **AMD Instinct MI300X** is gaining traction in inference, and **Google's TPU v5** is strong inside Google's own data centers.

Manufacturing and Supply Chain

Our **SilicaFab supply chain dependence** is unchanged: SilicaFab, based in Hsinchu, Taiwan, fabricates 100% of our X-series chips. The SilicaFab agreement was extended in FY2024 and continues through **December 2027**. X2 capacity is **constrained through H1 FY2025** while SilicaFab ramps the new node.

HBM3e memory is sole-sourced from two Korean suppliers, **HB Memory Corp** and **ShinKwang Electronics**.

(Source: NexaCore FY2024 Annual Report, Manufacturing and Supply Chain)

Employees

NexaCore had **15,800 employees** at the end of FY2024, up from 12,400, including approximately 420 added through the DataSync acquisition.

Financial Results — Fiscal Year 2024

Revenue

Total revenue for FY2024 was **$29.5B**, up **108%** from $14.2B in FY2023.

Region	FY2024 %	FY2024 Revenue	FY2023 %
Americas	42%	$12.4B	40%
Asia-Pacific (excl. China)	28%	$8.3B	30%
China	20%	$5.9B	18%
Europe	10%	$3.0B	12%

China revenue increased to **20%** ($5.9B) despite regulatory uncertainty. Chinese cloud and AI customers accelerated purchases ahead of anticipated restrictions.

(Source: NexaCore FY2024 Annual Report, Management Discussion and Analysis — Revenue)

Segment Revenue

Segment	FY2024 Revenue	FY2023 Revenue	Growth
Data Center	$21.4B	$9.8B	+118%
Automotive AI	$3.6B	$2.6B	+38%
Edge Computing	$3.2B	$1.8B	+78%
Other (includes DataSync, $0.4B)	$1.3B	—	New
Total	**$29.5B**	**$14.2B**	**+108%**

Starting in FY2024, we report software and acquired-business revenue in "Other."

(Source: NexaCore FY2024 Annual Report, Segment Information)

Gross Margin Expansion

Gross profit was **$21.2B**, a gross margin of **71.9%** versus 68.3% in FY2023. Two factors drove the expansion: **X2 premium pricing** and a **rising software attachment rate** on hardware sales.

Operating Results

Metric	FY2024	FY2023
Operating Income	$11.1B	$4.4B
Operating Margin	37.6%	31.0%
R&D Expense	$4.9B (+75%)	$2.8B
R&D % of Revenue	16.6%	19.7%
Net Income	$9.8B	$4.1B
EPS (diluted)	$3.91	$1.64
CapEx	$1.4B	$0.8B
Free Cash Flow	$8.4B	$3.3B

DataSync Integration

DataSync contributed **$0.4B** of revenue in FY2024 and cost **$180M** in one-time acquisition expenses. Integration of engineering teams and the product roadmap is progressing.

Balance Sheet

Cash and equivalents rose to **$14.5B** (from $7.2B). Total debt was reduced to **$3.8B** (from $4.0B). Diluted shares were 2.51B.

(Source: NexaCore FY2024 Annual Report, Management Discussion and Analysis)

Risk Factors

Export Control Risk (ELEVATED)

China Revenue Impact

China was **20% of FY2024 revenue ($5.9B)**. In **October 2024**, the US Bureau of Industry and Security (BIS) proposed new restrictions covering chips equivalent to A100-class and above. We expect China revenue to **fall materially in FY2025**. Export control risk is now our **primary risk factor**.

Regulatory Timeline

The proposed rules are expected to be finalized in the first half of FY2025. Licenses may be granted for limited research institutions, but commercial sales are likely to be curtailed.

(Source: NexaCore FY2024 Annual Report, Risk Factors — Export Control Risk)

Manufacturing Concentration Risk

Taiwan Concentration

The **geographic fabrication risk** of producing 100% of X-series chips in Hsinchu, Taiwan remains our most significant operational dependency.

SilicaFab Capacity Ramp

The X2 ramp at SilicaFab has been challenging. Any disruption would prevent revenue recognition on our order backlog.

Customer Concentration Risk

Top Customers

Our **top 3 cloud customers represented 52% of Data Center revenue in FY2024** (approximately $11.1B). These customers are large hyperscale cloud providers; we do not name them. Purchases are made under purchase orders, not long-term commitments.

HBM Memory Supply Risk

Sole-Source Dependence

HBM3e is sole-sourced from **HB Memory Corp** and **ShinKwang Electronics**. Memory allocation is a production bottleneck for X2.

Competition Risk

QuantumEdge in Inference

The **QE-Pro GPU** is gaining share in inference workloads, where total cost of ownership matters more than peak training performance.

Integration Risk

DataSync Technology and Culture

DataSync's integration is ongoing. Technology integration, customer retention, and cultural alignment all carry execution risk.

Outlook

FY2025 guidance:

Metric	Guidance
Revenue	$58–64B
Gross Margin	75–77%

This guidance assumes China revenue declines significantly due to export controls.

(Source: NexaCore FY2024 Annual Report, Outlook)